📄 Contract Analysis Results

NON-DISCLOSURE_AGREEMENT.txt

Analyzed on 2025-11-08 11:23:18

Overall Assessment: FAVORABLE

📋 Key Terms

Disclosing Party: TechCorp Industries, Inc. (represented by CEO Sarah Johnson)

Receiving Party: John Smith (individual) Contract Duration:

Initial Term: 10 years from November 7, 2025

Extension: "shall continue indefinitely thereafter unless terminated by Disclosing Party with ninety (90) days written notice"

Critical Issue: Only the Disclosing Party can terminate; Receiving Party has no termination rights Payment Terms:

None specified (typical for basic NDAs, but concerning given the broad obligations)

Deliverables/Obligations:

Receiving Party: Maintain confidentiality, return/destroy information, assign all work product, comply with non-compete

Disclosing Party: No specified obligations or reciprocal duties Termination Conditions:

Only Disclosing Party can terminate with 90 days notice

No termination rights for Receiving Party

No specified conditions that automatically terminate the agreement Renewal Terms:

⚠️ Risk Analysis

HIGH

Automatic indefinite renewal unless Disclosing Party terminates ### HIGH RISKS 1. Excessive Contract Duration

RISK

Risk Level: HIGH

RISK

Quote: "This Agreement shall remain in effect for a period of ten (10) years from the date of execution and shall continue indefinitely thereafter"

RISK

Analysis: 10 years is extraordinarily long for an NDA, and indefinite extension creates perpetual obligations. Industry standard is typically 2-5 years maximum. 2. Overly Broad Work Product Assignment

RISK

Risk Level: HIGH

RISK

Quote: "All work product, ideas, concepts, improvements, or inventions created by Receiving Party during the term of this Agreement, whether or not related to Confidential Information, shall be the sole and exclusive property of Disclosing Party"

RISK

Analysis: This clause assigns ALL intellectual property created during the term, even unrelated personal projects, which is likely unenforceable and extremely unfair. 3. Unreasonable Non-Compete Clause

RISK

Risk Level: HIGH

RISK

Quote: "Receiving Party shall not, directly or indirectly, engage in any business that competes with Disclosing Party in any geographic area where Disclosing Party conducts business"

RISK

Analysis: 5-year duration with unlimited geographic scope is likely unenforceable and

prevents legitimate career opportunities. 4. Unilateral Amendment Rights

RISK

Risk Level: HIGH

💡 Negotiation Points

Quote: "This Agreement may be amended only by Disclosing Party in writing. Receiving Party's continued performance under this Agreement shall constitute acceptance of any amendments" ### MEDIUM RISKS 5. Unlimited Damages Exposure

Risk Level: MEDIUM

Quote: "Disclosing Party shall be entitled to seek injunctive relief and any other remedies available at law or in equity, including unlimited damages"

Analysis: No cap on damages creates potentially catastrophic financial exposure for minor breaches. 6. One-Sided Confidentiality

Risk Level: MEDIUM

Analysis: No reciprocal confidentiality obligations on TechCorp, despite John Smith likely sharing sensitive information about himself/his business. ### LOW RISKS 7. Standard Governing Law Clause

Risk Level: LOW

> Quote: "This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware"

> Power Imbalance: Unilateral termination and amendment rights create an unfair dynamic ### 1. Drastically Reduce Contract Duration

> Ask For: Limit initial term to 2-3 years maximum, with mutual termination rights

> Proposed Language: "This Agreement shall remain in effect for three (3) years from execution, with either party able to terminate with 30 days written notice"

> Why This Matters: Current duration exceeds reasonable business needs and creates indefinite obligations ### 2. Limit Work Product Assignment

> Ask For: Restrict assignment to work directly related to disclosed confidential information

> Proposed Language: "Work product directly derived from or incorporating Confidential Information shall be jointly owned, with all other intellectual property remaining with its creator"

> Why This Matters: Current clause could prevent John Smith from pursuing independent projects in his field ### 3. Eliminate or Severely Limit Non-Compete

> Ask For: Replace with narrow non-solicitation clause or eliminate entirely

> Proposed Language: "Receiving Party shall not solicit Disclosing Party's employees or

> customers for one (1) year following termination"

> Why This Matters: Current non-compete is likely unenforceable and unnecessarily restricts career opportunities ### 4. Add Mutual Confidentiality

> Ask For: Make confidentiality obligations reciprocal

> Proposed Language: "Both parties agree to maintain in confidence any proprietary information disclosed by the other party"

> Why This Matters: John Smith will likely share sensitive information that deserves protection ### 5. Require Mutual Agreement for Amendments

> Ask For: Eliminate unilateral amendment rights

> Proposed Language: "This Agreement may only be amended by written agreement signed by both parties"

> Why This Matters: Prevents TechCorp from unilaterally changing terms after signing

📄 Full Analysis

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